Sycamore Square — Feasibility Study: Landlord View (Lease Everything)

Public version · 18 Oct 2026

> **The purchase price is left out of every number in this version.**

Summary

Leasing out the whole building, halls included, does not pay at realistic numbers. About $14.9M of one-time money, not counting the purchase, earns about $638k a year, so it takes about 23.4 years to earn the money back. A typical investment property earns back in about 12 years, and the goal is 10 years or less; only the best case gets there.

	Worst	Realistic	Best
Money to build it, all one-time items except the purchase	$24.22M	$14.94M	$9.19M
Money coming in each year	$810k	$1.18M	$1.77M
Money going out each year	$511k	$544k	$505k
Profit each year, before loan payments	**$299k**	**$638k**	**$1.27M**
Years to earn back the money	**about 81**	**23.4**	**7.2**
Profit each year for every $100 invested	$1.23	$4.27	$13.81

The owner-run plans in the Four Development Options doc earn more from the same building, because the owners keep the halls' profit instead of collecting a small rent for them.

What this plan is

This is the lease-everything plan, with the owners acting only as landlord: every space is leased, and the ownership group runs nothing. Each tenant also pays its share of the building's tax, insurance and upkeep. Figures are worst / realistic / best.

Space	Who rents it	Rent a year	Share leased
Hall A and Hall B, with kitchens and dining (47,730 SF)	An outside hall operator	$2.00 / $2.00 / $8.00 per SF	Whole space
Kids' indoor playground (18,000 SF)	A playground operator	$3.00 / $4.50 / $7.50 per SF	Whole space
About 22 small shops (31,500 SF to rent)	Shop tenants	$11.00 / $13.50 / $16.00 per SF	70% / 85% / 92%
Flex space (25,559 SF to rent)	Contractors, showrooms, storage	$6.00 / $7.50 / $9.00 per SF	50% / 80% / 90%
Fuel pad on the Sycamore View frontage	A fuel company builds the station and pays ground rent	$0 / $95k / $160k	Pad only

Space	Who rents it	Rent a year	Share leased
Food pad on Summer Ave	A restaurant pays ground rent	Best case only: $70k	Pad only

The halls are the weak link. At realistic bookings of 220 events a year, an outside operator that wants to earn 15% a year on its own fit-out (about $3.6M after the landlord's help) cannot afford any rent. The calculated rent comes out negative, about −$2.46 per SF a year. If the operator accepted 10% a year, it could pay about $1.34 per SF. So this study assumes a low-rent user at $2.00 per SF, about $95k a year, taking the space as built. Only in the best case could an operator pay up to the $8.00 per SF market ceiling ($382k). Run by the owners instead, the same halls make about $586k a year before building costs (see the Operator View).

Money coming in and going out each year

Once the building is leased up, rent from the shops is the biggest single source, and upkeep of the large parking lot is the biggest cost. These are yearly figures for a settled year, before any loan payments.

Each year	Worst	Realistic	Best
Shop rents	$243k	$361k	$464k
Flex space rents	$77k	$153k	$207k
Kids' center rent	$54k	$81k	$135k
Hall operator rent	$95k	$95k	$382k
Fuel pad ground rent	$0	$95k	$160k
Food pad ground rent (Summer Ave)	$0	$0	$70k
Tenants repay their share of tax, insurance and upkeep	$341k	$396k	$357k
Money coming in	**$810k**	**$1.18M**	**$1.77M**
Allowance for empty-space gaps and unpaid rent	$23k	$24k	$28k
Property tax	$70k	$163k	$165k
Insurance, including flood	$123k	$89k	$61k
Upkeep: parking lot, lighting, landscaping, common areas	$223k	$179k	$147k
Property management	$39k	$58k	$79k
Set-aside for roof and AC repairs	$32k	$32k	$26k
Money going out	**$511k**	**$544k**	**$505k**
Profit each year, before loan payments	**$299k**	**$638k**	**$1.27M**

Property tax follows what the finished property is worth, so it is lowest in the worst case. Today's bill, on the 2026 county appraisal of $4,928,100, is about $104,000 a year.

Money to build it (one-time)

In the realistic case the building work alone is about $10.2M. The list below is every one-time item except the purchase, largest first within each group.

One-time item, realistic case	Amount
Heating and air conditioning	$1.18M
Removing the 4 hall columns (steel beams)	$1.10M
Restrooms	$1.00M
Roof	$928k
New shop fronts	$704k
Walls between tenants	$681k
New entrances and canopies	$600k
Electrical	$600k
Fire alarm with voice evacuation for large crowds	$574k
Parking lot repair and repaving	$573k
Demolition inside the building	$447k
Site work and landscaping	$400k
Outside walls and paint	$400k
Sprinklers	$383k
Plumbing	$250k
Flood compliance	$250k
Stormwater detention	$100k
Building work subtotal	**$10.17M**
Design, permits and contingency for unknowns	$2.24M
Fit-out help for tenants and leasing commissions	$1.90M
Holding costs and loan interest while building (18 months)	$641k
Total one-time money, except the purchase	**$14.94M**

The worst case totals $24.22M and the best case $9.19M. Column removal is carried at about $275k per column, about $1.1M for all four (worst $495k, best $105k each). That comes from a cost build-up for a steel beam of about 88 ft per column; the closest documented job cost $207k–$480k per column (ProCM, Crossgates Mall). The 1997 drawings show 2 roof columns inside each 11,000 SF hall, and a structural engineer must price the work.

Why the profit is small

The rents this area pays are too low to carry $14.9M of one-time money. To earn back in 12 years, profit would need to be about $1.25M a year, about double today's $638k. Or the one-time money would need to fall to about $7.7M.

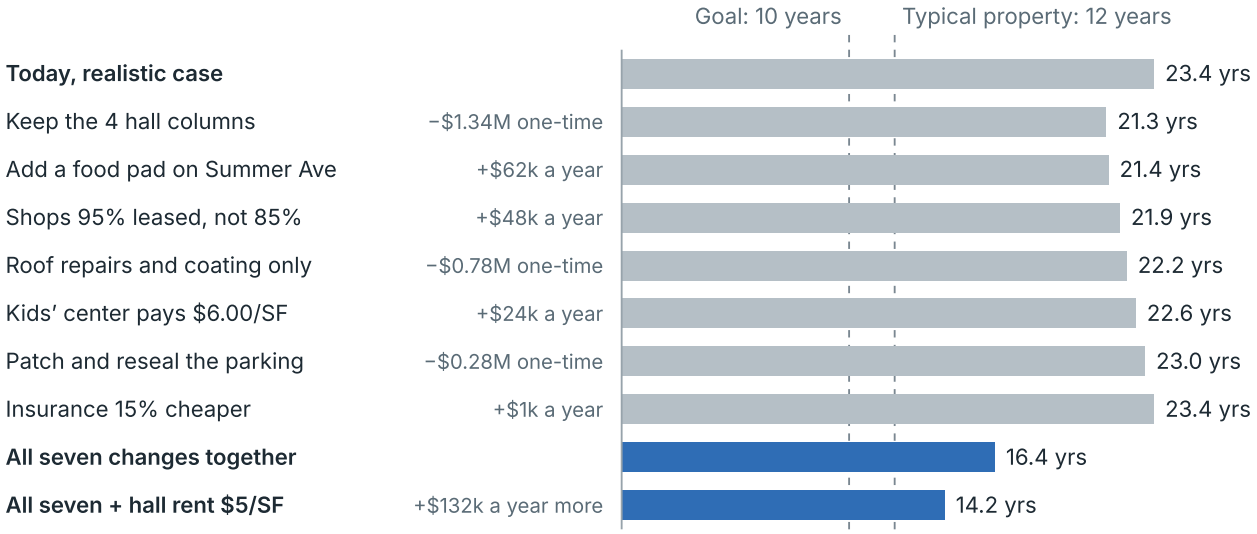
- **Rents are small next to the work.** Base rents total about $785k a year: shops $361k, flex $153k, kids' center $81k, halls $95k and fuel pad $95k.

- **The halls take 37% of the building but pay 12% of the rent.** They also carry the $1.10M column removal and about $716k of fit-out help to the operator.
- **Shops cost a lot to create.** New shop fronts and tenant walls cost about $1.4M, plus $20 per SF of fit-out help. Yet they rent for $13.50 per SF, deep in the site behind other buildings.
- **Empty space costs money.** In the realistic case 15% of the shops and 20% of the flex sit empty. The owner pays their share of tax, insurance and upkeep (about $35k a year), plus a $24k allowance for unpaid rent.

Ways to improve it

All seven changes together still take about 16 years to earn back

Years to earn back the one-time money, purchase price left out, realistic case. Shorter is better.



Sycamore Square model v2.3, lease-everything plan, realistic case, one change at a time, purchase price left out · 18 Oct 2026

No single change moves the earn-back by more than about 2 years. All seven together reach about 16 years, and adding a hall operator that pays $5 per SF reaches about 14. Keeping the columns saves the most money ($1.34M) but leaves 2 columns in each hall.

Risks

The two biggest swings are the building's condition and whether anyone pays rent for the halls and the fuel pad. Each row says what it does to the realistic case and how to check it before any binding commitment.

Risk	What it does	How to check
Floor sits below the flood requirement	The flood level here is 248 ft. Lidar puts the ground at 250–252 ft along about 85% of the walls, but 247.7–248.8 ft along about 240 ft at the rear truck docks. Flood work could rise from $0.25M toward $1.0M, and flood insurance would cost more.	Elevation certificate and survey
Roof, air conditioning or other systems worse than assumed	Building work rises from $10.2M toward the worst case, $17.0M	Walk-through with a roofer, an HVAC contractor and a general contractor
Removing the hall columns is harder	At $495k per column, about $0.9M more	Structural engineer on site

Risk	What it does	How to check
Big crowds trigger earthquake upgrades	Under the 2021 building code, a building whose assembly rooms of more than 300 people add up to more than 2,500 occupants moves to a higher safety class ("Risk Category III"). In Memphis that can require earthquake strengthening of the existing building, which could cost more than the column work. Seated at tables, the two halls hold about 1,470 and stay under the line; chairs-only seating (about 3,140) would not.	Cap the posted capacity; confirm with the City and a structural engineer
No hall operator signs, or one pays nothing	Profit falls to about $553k a year; earn-back stretches to about 27 years	Talk to two or three hall operators and caterers
Fuel pad not leased, or the frontage parcel split from the site	Same effect: about $553k a year and about 27 years. At realistic volumes a fuel company earns only about $4 a year per $100 it spends to build, so a deal is not assured.	Confirm all four parcels stay together; ask fuel operators
Shops and flex lease slowly	At 70% of shops and 50% of flex leased, profit falls to about $493k a year; earn-back stretches to about 30 years	A local leasing broker's view of rents and timing

Assumptions and sources

These are planning numbers from public data, not contractor quotes, surveys or signed leases. Sources were opened on 18 October 2026.

- **Site.** Four parcels total 11.72 ac on the county assessor's records, matching the broker; the county GIS lines sum to about 11.88 ac, and a survey settles it. The building is 127,634 SF (broker) or 125,235 SF (assessor), built 1984. The 2026 appraisal is $4,928,100 (Shelby County Assessor).
- **Shop and flex rents.** Memphis retail asking rent averages $14.20 with about 5% vacancy in 2026 (Marcus & Millichap via REBusiness). Big-store vacancy rose with furniture move-outs and the IKEA Cordova closing (Marcus & Millichap 3Q26). Nearby, 6343 Summer Ave asks $14.40 per SF modified gross, meaning the rent already includes some building costs. Shelby Crossing II asks $10–11 per SF plus $3.68 of tax, insurance and upkeep. Flex averages $7.49 per SF in Memphis and $10.50 in the Northeast area (Cushman & Wakefield Q3 2026).
- **Kids' playground.** Kids Empire's franchise disclosure puts the cost to open 15,000+ SF at $803,750–$1,765,000 (Franzy).
- **Fuel pad.** Ground rent of about $80k–$130k a year from a regional operator, or $150k–$200k from a national brand, is a planning judgment. One comparison is Murphy USA in Murfreesboro at $200k a year.
- **Building costs.** These are planning estimates from price guides, to be replaced by contractor quotes:
  - TPO roofs at $4.50–16 per SF (Fixr)
  - rooftop AC replacement priced per ton (Oxmaint)
  - fire alarms (Safe and Sound) and storefronts (LatestCost)
  - parking resurfacing (Wright Construction)
  - fit-out help of $15–35 per SF for used retail space (Terrapin)
  - contingency for incomplete plans (ConstructConnect)
  - a Memphis cost factor of about 0.89 (RSMeans)
  - costs rising about 5.2% a year (Turner via Construction Dive)
- **Columns.** The 1997 Sitel tenant drawings (sheets A2.1 and A2.2) note 24-inch column covers at 15 locations in Area A, on a grid of about 44.5 ft. Removal is carried at $275k per column (worst $495k, best

$105k) from a cost build-up. The closest documented job cost $207k–$480k per column (ProCM, Crossgates Mall). A structural engineer must price it.

- **Building code.** The 2021 IBC puts a building in Risk Category III when its assembly rooms of more than 300 people add up to more than 2,500 occupants (STRUCTURE magazine). Memphis sits near faults capable of major earthquakes (USGS).
- **Flood.** FEMA flood map panel 47157C0311G (effective 6 February 2013) puts about 74% of the building in Zone AE, with a flood level of 248 ft (FEMA flood map service). Ground heights come from USGS 1 m lidar flown in 2017 (USGS).
- **Tax.** The rate is $2.58081 city plus $2.70 county per $100 of assessed value, assessed at 40% of appraisal (Daily Memphian, Tri-State Defender).
- **Insurance.** The allowance is $0.40–0.65 per SF plus flood cover. Federal flood insurance covers at most $500k of building and $500k of contents (FEMA guide). Get broker quotes.
- **Hall operator rent.** This comes from the Operator View: 220 events a year, and an operator wanting 15% a year on its own fit-out.
- **Not included.** Loan payments are left out. A bank typically lends 55–65% of the cost, and its payments would cut the cash left each year (CRE loan rates 2026). No Memphis data was found on how fast redeveloped centers lease up, so this study assumes 2–3 years.

Public version: prices, fees and transaction terms are omitted. Everything here comes from public records, desk research and concept drawings; it is not legal, engineering or investment advice.